Peptides Are Everywhere. Businesses Are Cashing In.

Podcast: Wall street journal

AI Executive Summary

Core Thesis The peptide market is currently at a volatile regulatory crossroads, transitioning from an unregulated "gray market" driven by social media influencers and biohackers to a potential multibillion-dollar industry led by major telehealth players. While the recent FDA advisory committee recommendation to allow compounding pharmacies to produce several popular peptides suggests a loosening of restrictions, significant medical risks regarding long-sited safety, purity, and unintended side effects (such as tumor growth) remain unresolved and highly contested between public health advocates and wellness entrepreneurs.

Key Arguments & Data * Market Potential & Business Moves: * Analysts estimate the potential telehealth market for peptides could exceed $2 billion. * Major telehealth players are aggressively positioning themselves for a "peptide gold rush" through strategic acquisitions, such as Noom acquiring Taylor Made Compounding and Hims & Hers acquiring a peptide compounding facility in Menlo Park. * **Regulatory Landscape & Shifts:** * Under the Biden administration, the FDA placed over a dozen peptides on a "do not compound" list to mitigate safety concerns. * A recent FDA advisory committee meeting resulted in a recommendation to allow compounding pharmacies to manufacture six out of seven reviewed peptides, including BPC-157 and TB-500 (known as the "Wolverine stack"). * Political influence, specifically from figures like RFK Jr., is expected to further drive the deregulation and increased accessibility of these substances. * **The Rise of the "Gray Market":** * Due to restrictions on licensed pharmacies, a massive secondary market has emerged where consumers order powders from overseas (notably China) and perform at-home injections/mixing without medical supervision. * Sellers bypass regulations by labeling products "for research use only" or "not for human consumption." * **Clinical Risks vs. Anecdotal Benefits: * Claimed Benefits:** Rapid injury recovery, enhanced skin/hair health, increased melanin (MT2), and improved metabolism. * **Documented Risks:** Potential for the growth of polyps or cancerous cells; unknown long-term effects; dangers of "stacking" multiple peptides; and the high risk of contaminated or impure substances in unregulated supply chains. * **The GLP-1 Catalyst:**

The massive commercial success and mainstream visibility of FDA-approved GLP-1 drugs (like Ozempic) have served as a gateway, increasing public familiarity with and interest in experimental peptide technology.

Actionable Takeaways * For Consumers: Exercise extreme caution regarding "at-home" peptide administration. Because many current sources are unregulated and lack FDA oversight, there is a high risk of consuming impure substances or experiencing unmonitored medical complications like tumor growth. *** For Healthcare Providers & Telehealth Executives:** Monitor the FDA's progress on the proposed rules following the advisory committee vote. The ability to lawfully compound these substances represents a significant shift in the personalized medicine landscape and a new revenue stream for licensed pharmacies. *** For Investors:** Track the acquisition patterns of large-scale wellness companies (e.g., Noom, Hims & Hers) regarding compounding facilities. These moves serve as a leading indicator of how much capital is being deployed in anticipation of a regulated peptide market.

Full Transcript

Do you want glowing skin, bigger muscles, healthier hair? On social media, the answer you'll likely get for all of that is peptides. If you're someone who's wanting to get sexy for summer, these are the top five peps to get for summer. I only take two peptides to make my skin look like this. You could be lean, jacked, and tan this summer. Basically, you take them, they're going to heal injuries up to, like, three to four times as fast as they would heal on their own. Like, how insane my skin has been looking on Glutathione. Like, I wish you had that. I could go on and on and on and on. There is a pep for every problem.

Peptides, often sold as injectables, are a massive trend, fueled by influencers and celebrities like Joe Rogan and Gwyneth Paltrow. Despite their popularity, though, most peptides are being sold in the U.S. without regulatory oversight, making them a controversial subject in medical circles. Our colleague Sarah O'Brien has been reporting on this wellness craze. People are largely getting these peptides on the Internet. They're ordering them. from sellers that are largely abroad and are mixing them and injecting them at home, oftentimes without a doctor's supervision at all. But now, the Food and Drug Administration under Health Secretary Robert F. Kennedy Jr. is talking about recategorizing several of these experimental peptides, potentially making them more accessible for a lot of people. How would you describe this moment for the peptides market?

It's on the cusp of change. We don't know what the FDA will ultimately do, but it certainly looks like they are interested in potentially making a change here and making these peptides more available to people. And the wellness industry is keeping a close eye. Businesses, including some of the biggest players in telehealth, are gearing up for a peptide gold rush, already investing millions of dollars into the space. A lot of companies are seeing the business opportunity here. They're really seeing dollar signs that could come and some businesses aren't waiting around for permission. They're sort of moving full force ahead to try to capitalize. Welcome to The Journal, our show about money, business, and power. I'm Jessica Mendoza. It's

Thursday, July 30th. Coming up on the show, businesses are ready to cash in on peptides.

Our bodies make and use peptides naturally all the time. They're chains of amino acids that do all kinds of things like regulate your sleep or metabolism. Insulin is a peptide, so are endorphins. What you're seeing on social media are manufactured peptides that claim to enhance some of those same body functions.

The ones that a lot of people are talking about come in injection form, but they also come in the form of nasal sprays or transdermal patches. So there's sort of like a range of formulations, although I would say the most popular ones that you're hearing about are injections. Let's back up a little bit here. How did the peptide craze start? Yeah. So, you know, some of these peptides have been used for quite some time in biohacking circles with bodybuilder types. There are ones that, you know, have been around for maybe a decade. But they have gotten a lot more attention in part due to the popularity of GLP-1 medications. GLP-1 is a peptide. Now, the GLP-1 drugs that you hear about like Ozambic, these are FDA-approved drugs that went through lengthy clinical trials. But it has sort of had this effect of, you know, the popularity and the success of those drugs. People saw sort of like the weight loss improvements and thought like, huh.

Is there anything else? Right. Seeing that peptides work in the case of GLP-1s kind of opened the floodgates, in a sense. Exactly. And it sort of made it kind of a household name, if you will. These days, influencers and regular people alike are name-dropping all kinds of experimental peptides on social media. Things like BPC-157 and TB-500 for recovery and healing, MOT-C for energy, or MT2, often called the tanning peptide, for boosting melanin. It's been really interesting to see. I mean, it has broadened significantly. So now you're hearing from everybody from, you know, teenagers to young men to postpartum women to senior citizens sort of talking about various peptides. They're talking about them as if they are like miracle substances, right, that have helped them transform in one way or another.

clear skin, hair growth, more muscle. On the surface, peptides sound amazing. What's the catch here? What are some of the risks? Right, the catch is that we don't know some of the risks for one. These peptides that

everyone is talking about are ones that are largely experimental peptides. So they are not part of any FDA approved drugs.

And so far, much of the evidence about how they're working and the sort of like benefits of them are anecdotal. Doctors that I've spoken to have expressed concerns about the effect of peptides that maybe people aren't talking about, such as like the growth of polyps or cancerous cells. So there are unintended side effects that go beyond sort of the benefits that people are talking about. And a lot of people are stacking these peptides. We don't know how they might interact with each other. But also, you know, the way that people are getting them now, if you're ordering something online, there are reports that some of them have been laced with something that, you know, is not the peptide that you're intending to take. That could be quite dangerous. So there are quite a few downsides. Under President Joe Biden, the FDA flagged safety concerns and a lack of data around the long term effects of peptides. The agency then put more than a dozen peptides on a do not compound list.

basically saying that compounding pharmacies here in the U.S. aren't allowed to make them. The compounding pharmacies that we're talking about are licensed and inspected by states, and they make patient-specific medications. So they take sort of raw ingredients and make them into injection form or pill form or whatever the formulation is and provide them to patients. But in 2023, the Biden administration cracked down and said these specific peptides are not allowed to be compounded. That hasn't stopped people from getting their hands on these restricted peptides though. Sarah says that since that 2023 decision, the gray market for unauthorized peptides has blown up. Just by sort of like sleuthing around on social media or the internet, Reddit, TikTok, you can find links to these companies which are selling the substances by name. They include disclaimers that say for research use only or not for human consumption.

which is their kind of workaround. And they often tout the benefits of these substances, even though they are supposedly for race or juice only. So they're not hard to find. And a lot of times, you know, they come from abroad, from places like China, and people are then mixing them at home. Sort of it comes in like a powdered form that you mix with back to your

static water and inject into yourself. But now, under the Trump administration, peptides have gotten an official boost from a powerful new ally, RFK Jr. He's been outspoken for years about his belief that the U.S. has gone too far in regulating these substances. Secretary Kennedy has said that he's a fan of these peptides and has used some on himself on occasion. I mean, I'm a big fan of peptides. I've used them myself and used them with really good effect, you know, with a couple of injuries.

He has vowed to end the war on peptides and so it is clear that he wants to loosen sort of the restrictions on these peptides and make them more widely available to people. Just last week, an FDA hearing gave both peptide enthusiasts and businesses a shot in the arm. That's after the break. An FDA advisory committee began a two-day meeting today to consider lifting a ban and widening access to seven popular peptides. Last week, a committee within the FDA held hearings about some of the peptides that were restricted under the Biden administration. Seven were put up for a vote. Should the FDA ease restrictions on these peptides? The committee ultimately recommended to allow compounding pharmacies to make six of them.

The peptides included the popular BPC-157, which is one that is widely discussed on social media and on the internet. It is used widely from everything from like muscle repair to inflammation. It also included one called TB-500, also popular together. The two are marketed as the Wolverine stack. I'm just putting it together. So the Wolverine stack because wound healing, something Wolverine can do and also inflammation. is what it targets? Yes, together they're the Wolverine stack. To be clear, this does not mean that peptides more broadly or even even the ones that are on this list are now quote-unquote FDA approved, right? Like I'm not going to walk into Walgreens and see them on the shelves. They're definitely not FDA approved. And even if and when the FDA proposes a rule and it becomes a final rule and they become available for compounders to make, they are still not FDA approved drugs and they do not carry the same.

evidence and safety and effectiveness of FDA approved drugs. The head of the Partnership for Safe Medicines, a public health coalition, called the FDA committee vote, quote, a serious setback for patient safety. He added,

quote, patients won't read the fine print. They will hear one thing. The FDA said yes. The FDA still hasn't made an official decision on these peptides. It will consider the committee vote, along with other information, to develop a proposed rule. More peptides will also be up for review by the FDA committee early next year. Meanwhile, peptide advocates are taking the committee's recommendation as a good sign, and some telehealth companies are too. So there are some big players diving into the peptide game already. There's Noom, there's Hymns and Hers. Can you talk about these companies and how they're preparing for a world where the FDA might give its blessing on peptides?

So last year, Hymns and Hers acquired a peptide compounding facility in Menlo Park. This year, Noom acquired a company called Taylor Made Compounding, which operates in 46 different states. And they're making the steps to prepare themselves for a world in which peptides become more accessible and that they can sort of lawfully compound them. Representatives for Hymns and Noom were both at the FDA committee hearing and testified in favor of peptides last week. So it's clear, you know, that they sort of see the potential benefits of these substances. If the peptides currently under review with the FDA were to get approved, it could mean a huge telehealth market opportunity, potentially more than 2 billion worth, according to one analyst. Are these companies already compounding peptides or are they just getting into position to start as soon as possible?

When it comes to these particular peptides, these unapproved peptides, they are getting into position, it seems, but they have not been very public about what next steps are. We just know that based on the acquisition of compounding facilities, we know where they're moving and where they're looking ahead. The chief medical officer for him said in a statement that the company looks forward to a formal decision by the FDA of the peptides under review. He added, quote, we remain committed to building the care system this category deserves. Noom's chief medical officer said in a statement that greater oversight of peptides reduces risk for patients. But even if some of these larger companies are taking a wait-and-see approach, other smaller players in the wellness space are already selling peptides to customers.

I came across a company called Meno, which is a platform for doctors and clinicians and meds boss to access peptides and information about how to dose. And that company, they purchased a South Carolina factory, then they said, you know, they spoke with their attorneys and they feel like it is okay to provide some of these peptides despite the regulatory limbo and that they feel comfortable doing that with the right physicians involved. There's a company called Protocol, which is a telehealth company. The website sort of promises that the products come from state-regulated pharmacies. So they are pitching themselves as sort of like, we do not have unregulated research use only peptides. And some of the peptides that they are offering are also ones that are up for discussion. How can they do this if these substances of peptides aren't actually approved yet?

Yeah, it's a great question and the answers are sort of squishy. These pharmacies are regulated by the states and certain states have come out and been more aggressive about saying that doctors and clinicians should not be prescribing these peptides that fall into this regulatory limbo state. Others have not done so, right? So it varies by state of sort of like how aggressive they want to be against this. States have oversight of some pharmacies and practitioners. The FDA enforces its rules on a federal level. Still, some companies are betting that in a peptide-friendly environment, cementing their presence in the peptide industry now is worth the risk. They see this going in a direction where compounding pharmacies are able to lawfully make these peptides, and they want to lay the groundwork that they are the experts and that they are the go-tos for the certain customer base that they're speaking to. So it is a matter of planting a stake in the ground. Realistically speaking, how far away are we from the FDA potentially approving the compounding of peptides?

if they do. Yeah, I think the time frame is it could be several months before a proposed rule is out there and then there's a comment period where the public can provide sort of commentary and then there's a final rule. So it could be, you know, many, many more months. Sarah, you've been covering peptides to some degree basically since like the dawn of the GLP-1 era. Does this moment in peptides Tell us something about how people are thinking about wellness more broadly and specifically the role that government regulations should play in public health and the choices people

make. Yeah, I think that people feel like they need to take matters into their own hands for their own health and people are really interested in longevity, in living as long as they can, as healthy as they can. And so they are willing to take on the risk of injecting these unapproved substances for the potential benefit.

So I think it says a lot about where trust lies, like people are trusting the anecdotal information that's being shared from maybe influencers they follow on social media, over waiting for regulatory changes or waiting for the evidence to follow the anecdotes that they've heard. There's so much that's sort of like working against. the traditional medical system in this time. And so it's a really sort of like uphill battle they're facing. That's all for today, Thursday, July 30th. The Journal is a co-production of Spotify and the Wall Street Journal. Additional reporting in this episode by Alex Jannon. Thanks for listening. See you tomorrow.